EG CONFERENCE CALL NOTES: APAC and Japan: AI, Cyber Power, Competition, and Global Risk

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【メール原文】

CONFERENCE CALL NOTES

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APAC and Japan: AI, Cyber Power, Competition, and Global Risk

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* The US government is tightening control over the most advanced AI models on national security grounds, creating access uncertainty for non-US companies and governments — a structural shift from the prior pro-innovation, diffusion-first posture.

* A sustained wave of capable new model releases from China is eroding the assumption that raw compute scale alone determines Western AI leadership.

* Middle powers, including Japan and Europe, face a strategic imperative to diversify AI access and build stack resilience before access disruptions force their hand.

This is an AI-generated summary based on the call transcript. A full transcript and audio and video of this call are available. You can access other Eurasia Group conference calls through a personalized link for select podcast readers here .

Speakers:

* Heather West, Practice Head, Geotechnology, Eurasia Group

* Xiaomeng Lu, Director, Geotechnology, Eurasia Group

The Mythos Episode and the New US AI Control Paradigm

* Anthropic's launch of Mythos — an AI model tuned specifically to find and patch software vulnerabilities — and the subsequent export control episode have crystallized a new posture for US AI policy. When the Fable model (a guardrailed version of the same model) was found to be vulnerable to jailbreak attempts into similar cybersecurity capabilities, the Department of Commerce imposed export controls, and both models were pulled globally. Access was restored after Anthropic agreed to proactively flag security risks and coordinate with the government on future releases. Mythos remains restricted to vetted partners; Fable is available to Anthropic customers.

* The speakers framed this event as a signal of structural change. OpenAI has entered a similar agreement with the US government around access to its most advanced model, CyberGPT 5.6, and discussions are underway with other major labs. The US government is now actively involved in gatekeeping the most capable models — a departure from the prior emphasis on fast diffusion and frontier-racing.

* Non-US companies, including Japanese and European multinationals, are acutely aware of the implications. Multiple clients told the speakers they are actively trying to identify who in the US government controls access decisions and how to secure their position — evidence of how operationally significant these tools have become.

Chinese Model Advances: A Trend, Not a Moment

* Recent releases from ZhipuAI (GLM-5.2), Moonshot (Kimi 3), and Alibaba (Qwen3.8 Max) signal that Chinese models are no longer second-tier players. The speakers characterized this as a sustained trend rather than a repeat of the "DeepSeek moment" — Chinese AI development is advancing faster than US observers expected, and at a different scale than a year ago.

* The competitive dynamic is also shifting on the architectural level. Dominant US platforms are betting heavily on continuous scaling of general-purpose models. Chinese developers, and a growing number of smaller US startups, are exploring smaller, cheaper, "just good enough" models optimized for affordable customization, multimodal reasoning, and industry-specific deployment.

* One high-profile US startup founded by a former OpenAI executive, the Thinking Machines AI lab, recently announced it is distilling Chinese models as a cost-effective strategy to expand capabilities for its Inkling model — a notable signal that the smaller-model paradigm is gaining traction even in Silicon Valley. The speakers flagged this as potentially eroding the core competitive advantage large US labs have relied on.

Xi's Governance Pivot and the China Diffusion Strategy

* President Xi's keynote at the World AI Conference in Shanghai — his first appearance at the event — was notable for elevating safety language, including references to "internal risk" and "derivative risk" and a pre-detection system for AI risk. The speakers noted this is new: safety has historically appeared at the bottom of Chinese AI speeches. This time, it came in second place, only behind deployment and industrial productivity goals.

* China's outreach strategy is Global South-focused: 1,000 training opportunities for developing-country users and a free scientific tool for weather prediction. The speakers drew a parallel to the Digital Silk Road and Belt and Road Initiative. They noted internal Chinese criticism that this looks more like charity than AI promotion, and expressed uncertainty about which approach — US or Chinese — will prove more effective long-term.

US-China AI Dialogue: Meaningful Signal, Limited Near-Term Expectations

* The US and China announced plans to hold official talks on AI governance and risk management. The speakers assessed this as a meaningful development — not because immediate policy alignment is expected, but because establishing communication channels and identifying counterparts has independent value in a crisis scenario.

* A Chinese delegation at the ITU-hosted Geneva AI summit recently discussed shared principles around children's safety and preventing manipulative model behavior — identified as potential starting points for deeper dialogue.

Middle Power Strategies: Japan, Europe, and the Stack Question

* The speakers assessed that the US is the only country with nearly full-stack AI capability; China has significant but incomplete coverage; most other countries hold only a thin slice.

* Europe's aspiration to be an AI superpower is unlikely to be fully realized given resource and prioritization constraints, though a hybrid approach — using parts of the US stack while building sovereign capabilities — may bear fruit.

* Japan's competitive edge lies in hardware (semiconductors, chemicals, tools) and its ability to attract foreign talent. Sakana AI was cited as a domestic model built on foundational models but trained on local data to reflect Japanese values and preferences — a viable hedge against access disruptions to tools like Mythos.

* The speakers noted that no country has truly sovereign AI; every country is subject to choke points. The more sophisticated conversation is about resilience and control within a stack, not full ownership of it.

Key Watch Items

1. US government model access standards: Watch for additional guidance from the US government on benchmarking advanced models and best practices for release — expected to further formalize the new control paradigm.

2. Chinese export control on AI models/IP: Monitor whether China moves forward with proposed export restrictions on AI algorithms and IP transfers (distinct from open-source model controls, which speakers assessed as unlikely and self-defeating). Most likely triggered by a major geopolitical crisis, such as a Taiwan Strait escalation.

3. Alibaba model release: Official release expected approximately one month from the call; performance relative to US frontier models will be a key data point on the pace of Chinese AI advancement.

4. APEC Leaders Summit (November) and G20: Both expected to feature AI governance prominently; watch for whether like-minded middle powers begin to coordinate on stack resilience and access strategies.

5. Robotics and physical AI supply chain: Congressional pressure to restrict Chinese robotic components is growing, but no US robotic manufacturing base currently exists. Watch for US government efforts to reshape the supply chain.

6. Enterprise resilience strategies for advanced model access: No consensus strategy has emerged for organizations dependent on frontier models like Fable or Mythos. Watch for movement toward deliberate architectural diversification away from the most advanced models.

What Clients Are Asking

Physical AI and world models — who's ahead?

Clients asked whether China's lead in robotics deployment gives it an advantage in world model AI. The speakers assessed that China is likely ahead on deployment and data accumulation from physical applications, but neither speaker was confident in a definitive call on world model leadership specifically.

Chinese AI export controls — how serious is the risk?

Clients flagged the reported possibility of China restricting exports of its advanced AI models. The speakers assessed this as unlikely in the near term and a last-resort option reserved for a severe geopolitical crisis; they noted that Chinese companies consulted on the proposal were broadly opposed. Controls on IP and algorithm transfers were assessed as more likely than controls on open-source models.

Frontier model access disruption — how should organizations prepare?

Clients asked about the risk of losing access to frontier models again. The speakers suggested that organizations relying on moderately advanced rather than cutting-edge models will face less access risk, and noted that no consensus resilience strategy has emerged for those deeply integrated with models like Fable or Mythos.

AI and cybersecurity — what's genuinely new with Mythos?

Clients asked whether AI was already being used for cyberattacks before Mythos. The speakers confirmed that yes, since 2022, but emphasized that Mythos represents a step change: its ability to chain multiple steps into a full exploit sequence is exponentially greater than that of prior models. Defenders are currently backlogged on fixing vulnerabilities that Mythos can identify faster than they can patch.

Long-term balance between offensive and defensive cyber use: One speaker offered a directional call: over the long term, these advanced models are likely to be better for defenders than for malicious actors, but a period of disruption over the next year should be expected.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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